



RMIT UNIVERSITY

Course Code	ECON1266
Course	Macroeconomics For Decision Making
Assignment Number	Assignment 1
Title of the Case	An Analysis of Tunisia's Macroeconomic
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Due Date	Friday, 29th March 2024, 11:00 AM
Word Count	879

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A. Introduction:

Over the past five years, Tunisia faced challenges and opportunities, shaping its economic landscape significantly. This article offers a comprehensive analysis of Tunisia's economy, exploring trends, policy implications, and future prospects.

B. Data Analysis:

To examine Tunisia's macroeconomic landscape over the past five years, key indicators such as GDP, inflation, unemployment, current account balance and government expenditure can provide crucial insights into the nation's economic journey.

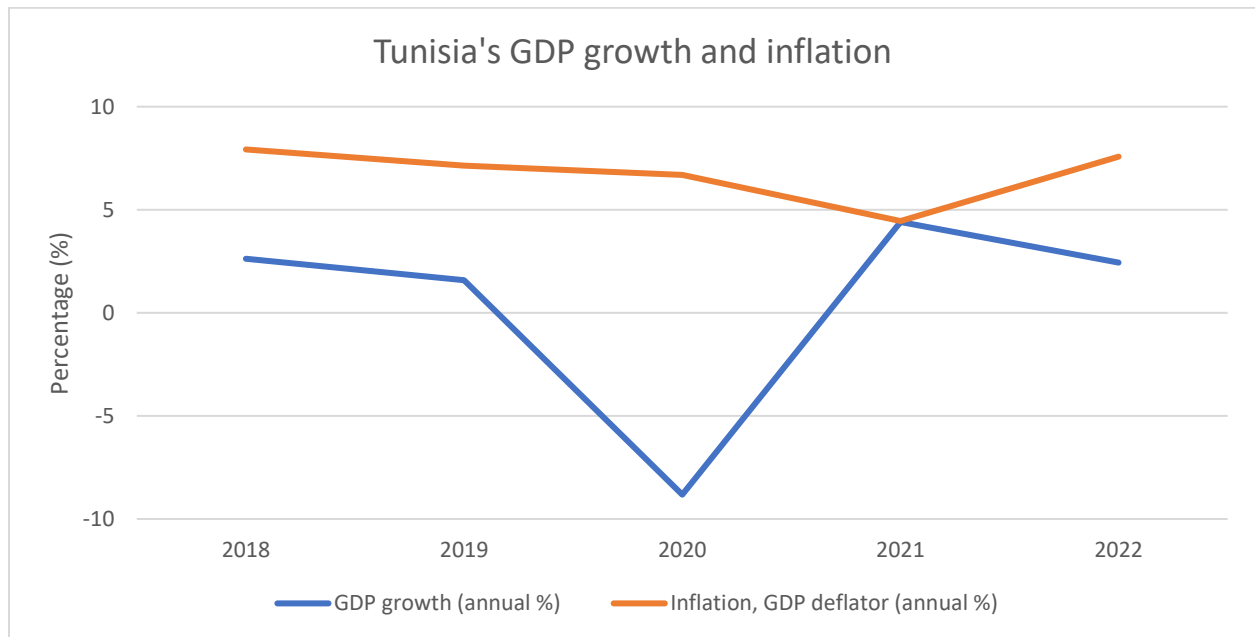


Figure1 (Data from World Development Indicators)

Beginning with GDP, Tunisia experienced a notable downturn in 2020, with a decline of -8.82%, attributed largely to the impact of the COVID-19 pandemic (Jason Fernando, 2023). However, signs of recovery emerged in 2021 and 2022.

Inflation, measured by the GDP deflator, showcased a consistent trend, averaging 6.31% annually, with a median of 7.57%. This signals persistent inflationary pressures impacting the cost of living and economic stability (Jason Fernando, 2024).

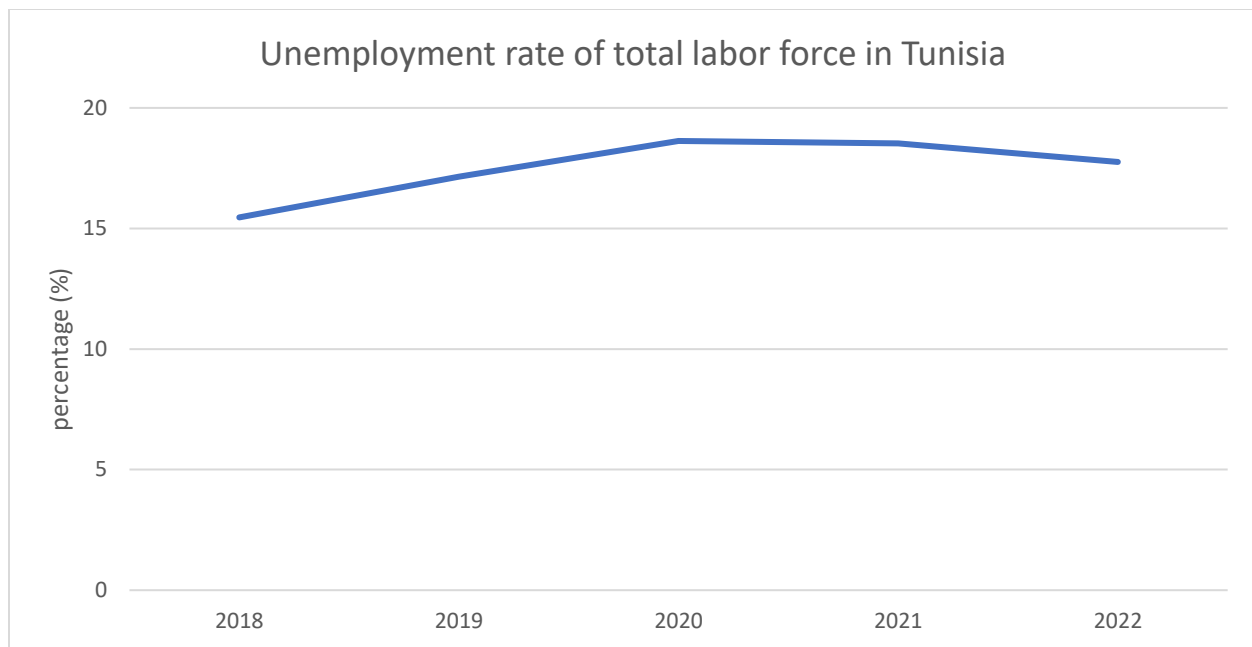


Figure2 (Data from World Development Indicators)

Concurrently, the unemployment rates have remained stubbornly high, underscoring enduring challenges in the labor market (Adam Hayes, 2022).

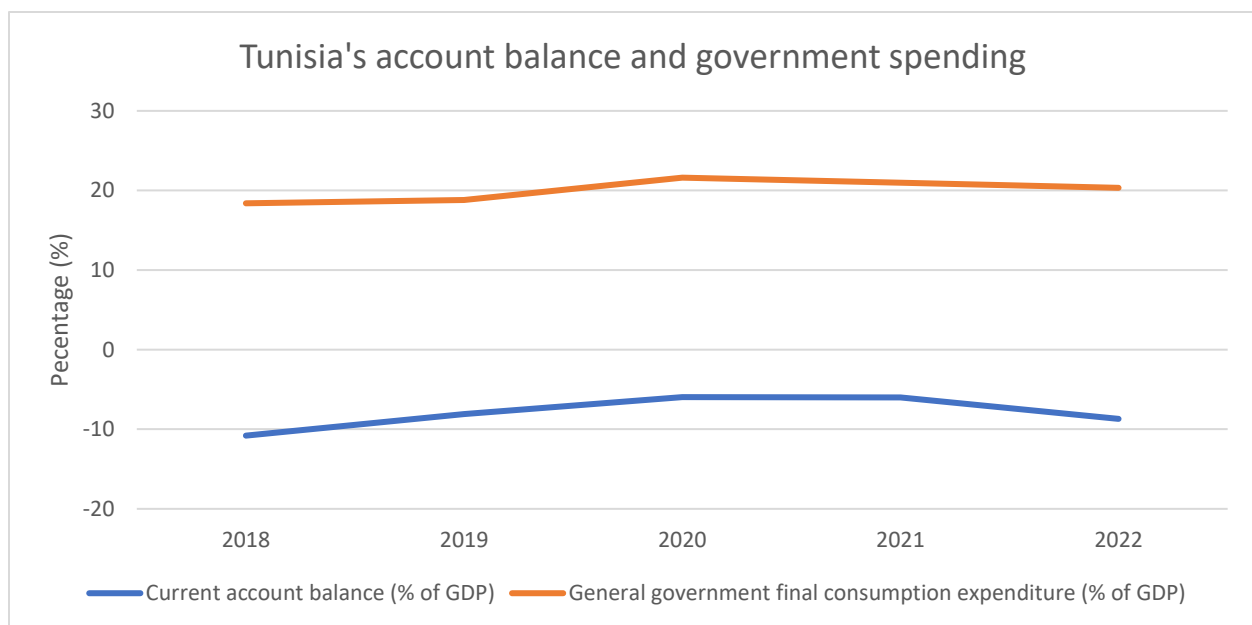


Figure3 (Data from World Development Indicators)

Moreover, the current account balance, reflecting external economic stability, fluctuated slightly from -10.8% in 2018 to -5.96% in 2020 (Reem Heakal, 2019). Throughout these fluctuations, government consumption expenditure as a percentage of GDP remained relatively stable, suggesting consistent public sector involvement in economic activities (Will Kenton, 2019).

In summary, Tunisia's economic performance over the past five years reflects a mix of challenges and resilience, with significant strides in GDP recovery despite inflationary pressures and high unemployment rates.

C. Post-Pandemic Discussion:

The COVID-19 pandemic has had a profound impact on Tunisia's economy. The significant contraction in its GDP to -8.82% in 2020 is clear evidence of this. The lockdown measures implemented to curb the spread of the virus disrupted economic activities, with sectors like tourism, a major contributor to the economy, hit particularly hard.

The recovery, however, has been commendable. The GDP growth rate rebounded to 4.41% in 2021 and 2.44% in 2022, indicating the resilience of the Tunisian economy amidst global health crises. Yet, the unemployment rate, which peaked at 18.629% in 2020, remains high at 17.759% in 2022, suggesting challenges in job creation and labor market dynamics (The World Bank, 2019).

International events have also influenced Tunisia's economic landscape. The Russia-Ukraine War and the Houthi rebel attacks on commercial shipping have led to fluctuations in global oil prices, affecting Tunisia's energy costs and balance of trade (Noah Berman, 2024). The notable increase in the current account deficit to -8.68% in 2022 could be partly attributed to these events (Denys Bédarride, 2022).

In response to these challenges, the Tunisian government has implemented several measures. These include fiscal stimulus packages to support businesses and households, and structural reforms to enhance economic resilience (IMF Fiscal Affairs Department, 2021). However, these measures have also led to an increase in public debt, as indicated by the rise in government consumption expenditure as a percentage of GDP to 20.34% in 2022.

The government's measures, through the Aggregate Demand-Aggregate Supply (AD-AS) model, have shown both positive and negative impacts. On one hand, their policies increase aggregate demand, shifting the AD^0 curve to the right. This led to an increase in both the price level and real GDP, moving the economy along the SRAS curve, thereby stabilizing the economy and support recovery. On the other hand, they have led to increased public debt and inflation, which reached 7.57% in 2022. The rising inflation rate suggests a movement along the AS curve, indicating potential supply-side constraints. This is represented by a leftward shift in the $SRAS^0$ curve, leading to a higher price level (P^2) but no change in real GDP (Y^0) in the long run.

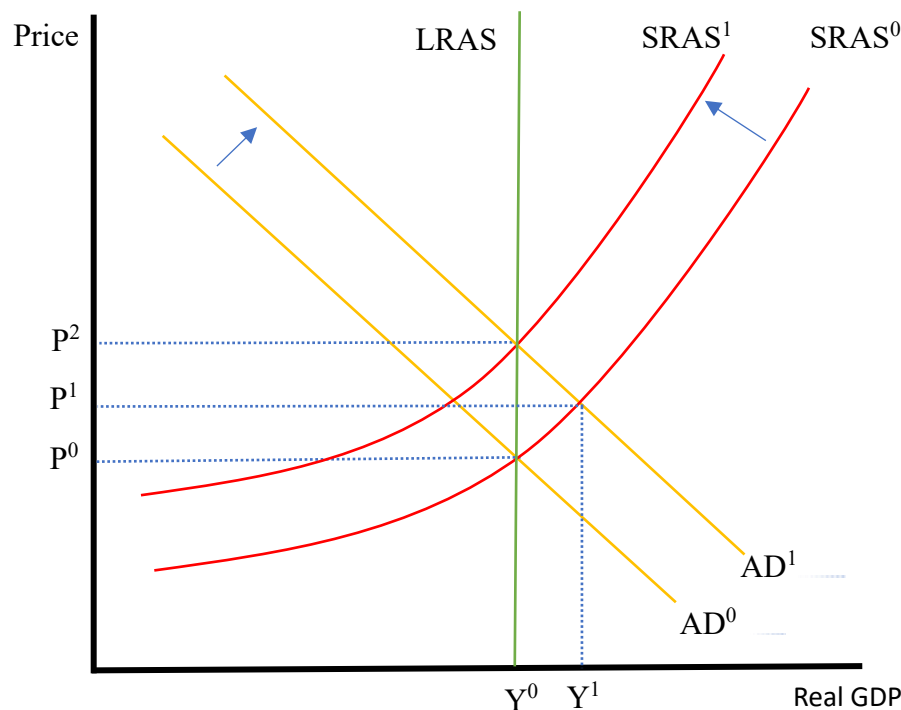


Figure 4: The AD-AS model

In short, while Tunisia's economy has shown signs of recovery post-pandemic, challenges remain. The government's measures have had mixed results, and careful policy considerations are needed moving forward to ensure sustainable economic growth.

D. Outlook:

Looking ahead, Tunisia's economy shows signs of promise despite the challenges. The recovery in GDP growth to 2.44% in 2022 from -8.82% in 2020 suggests a resilience that could be harnessed for future growth.

One industry that holds potential is the Information Technology (IT) sector. With the digital transformation accelerated by the pandemic, the IT sector could play a pivotal role in Tunisia's economic growth. The sector could also help address unemployment issues, given the global demand for IT skills (Yash Gajakosh, 2024).

However, the economic outlook is not without challenges. The high unemployment rate of 17.759% in 2022 and the rising inflation rate of 7.57% in 2022 are areas of concern. The current account deficit, which increased to -8.68% in 2022, also needs to be addressed.

For the period of 2024-2026, it is crucial for Tunisia to focus on structural reforms that can enhance economic stability and promote sustainable growth. A potential policy recommendation could be to invest in education and training programs, particularly in high-demand sectors like IT. This

could help address the unemployment issue while also preparing the workforce for the digital economy.

In conclusion, while Tunisia's economy has shown resilience in the face of recent challenges, careful planning and strategic investments will be key to ensuring sustainable growth in the coming years.

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